

China Renewables — Scenario Analysis (Bull / Base / Bear)

Grounded in an industry SWOT and the objectives of the 15th Five-Year Plan

Prepared 23 June 2026 • Companies: NARI, Sieyuan, CATL, Sungrow, China Yangtze Power • Not investment advice

How to read this. The scenarios are *conditional analytical narratives* — ‘if these conditions hold, this is the likely direction’ — not forecasts or recommendations. The SWOT items trace to the sourced work in the prior project reports; the plan objectives are primary-sourced to the 15th Five-Year Plan briefing (by page) and the State Grid investment disclosure. Where a scenario is anchored to a price, that anchor is **analyst consensus** (high = bull, average = base, low = bear) — sell-side opinion used as a reference, not a target generated here. Multiples and prices are mid-to-late June 2026 snapshots. Not financial advice.

1. Industry SWOT — China renewable energy

Strengths

- World's largest, lowest-cost, vertically integrated supply chain; ~65% of global solar patents (CPIA/CSIS)
- Wind+solar ~47% of capacity, past thermal (NEA); ~60% incl. hydro (15th FYP transcript p.6)
- #1 globally in offshore wind (transcript p.21); leaders in batteries, inverters, grid equipment
- State-backed financing + centralized planning enable rapid build-out

Weaknesses

- Severe manufacturing overcapacity; polysilicon/module losses; utilisation 50–60%, prices ~80%+ (pv-tech)
- Curtailment in the northwest (Gansu solar >30%) — grid cannot absorb all output (Dialogue Earth)
- Document 136 shifts price risk to generators; provincial rollout patchy (Carbon Brief)
- Consolidation fund to cut glut was blocked by the regulator (pv magazine)

Opportunities

- State Grid RMB 4tn capex 2026–30, +40% vs 14th plan (Xinhua/ARC); west-east transmission >420 GW (transcript p.17)
- ‘New power system’ + storage build-out (180 GW by 2027); merchant storage post-Doc 136
- Non-fossil 25% by 2030 / 30% by 2035; wind-solar-hydro-nuclear together (transcript p.17)
- ~100 zero-carbon parks; heavy industry moving to renewable-rich regions (transcript p.7); overseas localisation

Threats

- Trade barriers: US effectively closed (tariffs to 3,521%); EU saturated; VAT export rebate removed (Caixin)
- Persistent overcapacity if consolidation keeps failing → prolonged manufacturer losses
- Merchant-price risk + curtailment depress generation/storage returns if the grid lags
- Proposed cut to allowed return on T&D assets could trim grid procurement; RMB / geopolitical shocks

2. 15th Five-Year Plan objectives that drive the scenarios

The plan's demand signals are unusually concrete on the grid and generation side, and supportive but less quantified on manufacturing. Primary objectives: build a ‘new type of power system’ with dual carbon control [transcript p.6]; develop wind, solar, hydro and nuclear together, double the non-fossil share, push west-to-east transmission beyond 420 GW, and reach 25% non-fossil energy by 2030 [transcript p.17]; establish ~100 zero-carbon parks and move energy-intensive industry to renewable-rich regions [transcript p.7]. Behind these, State Grid has committed RMB 4 trillion of investment for 2026–2030, a 40% increase on the prior plan (Xinhua/ARC, Jan 2026). The through-line: the plan funds the *grid and the system* most concretely, supports *storage and generation* strongly, and leaves *manufacturing* margins to the market.

3. Industry scenario definitions (the shared backdrop)

Bull case. Grid spend executes on or ahead of schedule; overcapacity rationalises as ‘anti-involution’ pressure and voluntary attrition restore manufacturing margins; electricity demand runs strong (electrification, data centres, zero-carbon parks); storage scales fast; exports hold up through overseas localisation; the merchant-price transition settles with curtailment kept in check.

Base case. The RMB 4tn grid build-out proceeds broadly on track (high conviction — the capital is committed); the manufacturing glut persists into 2026–27 with only gradual margin recovery; demand grows mid-single digits; storage grows but under price competition; exports are pressured yet diversifying; Document 136 rolls out unevenly; curtailment is present but contained.

Bear case. Trade barriers compound; consolidation keeps failing, prolonging manufacturer losses; curtailment worsens as the grid lags generation; demand growth disappoints; an allowed-return cut trims grid procurement; merchant power prices fall sharply, hurting generator and storage economics; an RMB or geopolitical shock amplifies the drawdown.

4. Company scenario analysis

NARI Technology (600406.SH)

Grid equipment — core, lowest-risk plan beneficiary

Bull. RMB 4tn grid capex lands early and the software/services mix lifts margins; overseas wins (Brazil UHV) add growth; the 'new power system' raises demand for protection, dispatch and VPP software. Consensus bull anchor ~¥42.

Base. Steady grid investment drives roughly low-double-digit earnings growth; software mix improves gradually; net cash cushions any timing gaps. Consensus base anchor ~¥28.6–30.

Bear. A cut to the allowed return on T&D assets trims State Grid procurement (~5–8%) and UHV order timing slips; low beta limits the drawdown but earnings flatten. Consensus bear anchor ~¥18.5.

Key swing factor: Grid-capex execution pace vs. the allowed-return decision (Opportunity vs. Threat in the SWOT).

Sieyuan Electric (002028.SZ)

Grid equipment — higher-beta transmission play

Bull. A transmission boom plus an export ramp (FACTS/HVDC) sustains ~30%+ growth and the rich multiple holds or re-rates; pure T&D exposure captures the 420 GW transmission push directly. Consensus bull anchor ~¥286.

Base. Strong domestic orders keep growth high, but the ~46x+ multiple caps upside and leaves valuation risk; low leverage supports execution. Consensus base anchor ~¥242.

Bear. Order lumpiness or a growth wobble triggers multiple compression from a demanding starting point; the very wide 52-week range (¥69–239) means a large potential drawdown. Consensus bear anchor ~¥182–204.

Key swing factor: Whether growth stays fast enough to justify the basket's richest multiple (valuation is the dominant risk).

CATL (300750.SZ / 3750.HK)

Storage / batteries — the 'new power system' anchor

Bull. Storage reaches ~half of sales as the new power system and the 180 GW-by-2027 build-out scale; EV demand stays resilient and technology leadership holds; overseas expansion compounds. Consensus bull anchor ~¥800.

Base. Revenue compounds mid-teens, storage scales steadily while EV moderates; ~22x earnings is reasonable for the leader. Consensus base anchor ~¥558.

Bear. An EV-demand slowdown, lithium-price swings and geopolitical/tariff hits to overseas growth combine with storage price competition to compress margins. Consensus bear anchor ~¥345 (one major house sits far lower, ~¥167).

Key swing factor: Storage scale-up vs. EV cyclicalities and geopolitics (Opportunity vs. Threat).

Sungrow (300274.SZ)

Inverters + storage — system-integration enabler

Bull. Storage systems scale globally, the overseas channel deepens, and grid-forming technology wins desert/Gobi base projects — a recovery from the Q1 2026 earnings shock. Consensus bull anchor ~¥217–260.

Base. Revenue grows but storage price competition keeps margins under pressure (the Q1 2026 ~40% profit drop is the warning); earnings choppy. Consensus base anchor ~¥168–192.

Bear. The storage price war intensifies, export/tariff headwinds and FX bite, and earnings keep falling; the very wide 52-week range (¥53–210) implies a large drawdown. Consensus bear anchor ~¥80.

Key swing factor: Direction of storage-system pricing and margins (the Q1 shock is the live signal).

China Yangtze Power (600900.SH)

Hydro — low-volatility ballast and the plan's hydro thrust

Bull. Stable generation with good hydrology, plus lower interest rates that lift a bond-proxy valuation; incremental growth from pumped storage and overseas assets. Consensus bull anchor ~¥36.8.

Base. Utility-like output, ~3.5% yield and low-single-digit growth; the defensive anchor of the basket. Consensus base anchor ~¥32.7.

Bear. A drought year cuts hydro output, rising rates de-rate the yield, and high absolute debt raises financing cost; strict ESG screens that exclude large hydro limit fund flows. Consensus bear anchor ~¥28.

Key swing factor: Hydrology and interest rates (Strength/stability vs. weather and rate Threats).

5. Scenario matrix (consensus anchors)

Company	Bull	Base	Bear
NARI (600406)	Capex early + software margin; ~¥42	Steady grid spend, low-double-digit growth; ~¥29	Allowed-return cut, orders slip; ~¥18.5
Sieyuan (002028)	Transmission + export boom; ~¥286	High growth but rich multiple; ~¥242	De-rating on any wobble; ~¥182–204
CATL (300750)	Storage = half of sales; ~¥800	Mid-teens compounding; ~¥558	EV slowdown + margins; ~¥345 (bear-low ~¥167)
Sungrow (300274)	Storage systems recover; ~¥217–260	Growth, margin pressure; ~¥168–192	Storage price war deepens; ~¥80
Yangtze (600900)	Good hydrology + lower rates; ~¥36.8	Utility-like, ~3.5% yield; ~¥32.7	Drought + higher rates; ~¥28

Anchors are analyst-consensus high / average / low (sell-side), used as reference points only — not targets generated by this analysis. Snapshots, June 2026.

6. Signposts to monitor (what tilts the basket bull vs bear)

Grid: State Grid bidding/order pace, UHV project starts, and the allowed-return decision. **Manufacturing:** polysilicon price, utilisation rates, and progress on consolidation / anti-involution. **Storage:** install pace vs. the 180 GW-by-2027 target and the direction of storage-system pricing. **Trade:** new tariff actions and the ramp of overseas factories. **Demand & pricing:** electricity-demand growth, curtailment rates, and the provincial rollout of Document 136. Improving grid execution, firming polysilicon prices and contained curtailment tilt toward the bull case; the reverse tilts bear.

Selected sources

- **Primary:** SCIO briefing on the draft Outline of the 15th Five-Year Plan (NDRC, Mar 2026), cited by page.
- State Grid RMB 4 trillion 15th-FYP investment: Xinhua via ARC Advisory Group, Jan 2026.
- Industry facts (overcapacity, curtailment, Document 136, trade barriers, technology): pv-tech, pv magazine, Carbon Brief, CREA, CSIS, Caixin, Dialogue Earth — per prior project reports.
- Company financials and analyst-consensus targets: Investing.com, GuruFocus, stockanalysis.com, Morningstar, TradingView (Jun 2026 snapshots) and company results.

Scenarios are interpretive synthesis of the sourced project work, presented as conditional narratives — not forecasts, and not investment advice. Consult a licensed advisor before acting.